

more zeroes!

Noida is not just home to thousands of successful executives like Mr Talwar but also houses close to 2500 manufacturing businesses. Amongst the 700-odd textile firms in Noida, Mukesh Sanghvi's firm was one of the oldest. The Sanghvi family had run textile plants for generations. While their pot of wealth had grown over the generations, their business was now facing acute competition from Bangladesh (where wages are a third of what they are in India). On top of that, the Sanghvi family was dealing with unfavourable labour and tax regulations. The firm had also taken on a lot of debt lately and the Sanghvis—two brothers and a sister—had decided to put the business into liquidation.

Each sibling wanted to pursue a new line of business/profession, but Mukesh Sanghvi was clear that at fifty-five years of age, he wanted to take it easy and live off his accumulated wealth. It was by no means meagre—according to a rough estimate he had Rs 25 crore spread across assets like residential and commercial properties, gold, FDs, stocks and a significant amount of cash he would receive from the liquidation.

However, he was aware that his existing lifestyle meant that he would require a very large annual surplus to support it. He had two sons and a daughter. The oldest, Sujay, was twenty-five years old and worked as a manager in Mr Sanghvi's friend's pharmaceutical firm. The other two children, Nirmesh (aged twenty-three) and Komal (aged twenty), were studying in the US and the UK respectively. The family liked the good things in life. They went for three overseas holidays every year and changed their luxury (German) cars every other year. Given that Mr Sanghvi had let go of the business, he was nervous and unsure about whether his corpus would be enough to meet his family's requirements. After all, the family's annual financial outgo was Rs 1.5 to 2 crore, and if he had to sustain that for another thirty years, he needed a corpus of at least Rs 50 crore.

So far, the sole source of income for Mr Sanghvi was the dividends he received from the company and the large salary he drew as the firm's director. His wife had bought a lot of jewellery over the years and they had a